	AUDIT RISKS	AUDITOR'S RESPONSE
INVENTORY	**The company values inventory as selling price less average profit margin (any other methods).** Inventory should be valued at the lower of cost and net realisable value (NRV) and if this is not the case, then inventory could be under or overvalued. IAS 2 Inventories allows this as an inventory valuation method as long as it is a close approximation to cost. If this is not the case, then inventory could be under or overvalued.	Testing should be undertaken to confirm cost and NRV of inventory and that on a line-by-line basis the goods are valued correctly. In addition, valuation testing should focus on comparing the cost of inventory to the selling price less margin to confirm whether this method is actually a close approximation to cost.
INVENTORY	**Inventory not being valued according to IAS 2.** Inventory should be valued at lower of cost and NRV. There is a risk that inventory may be under or over stated.	Detailed cost and NRV testing should be undertaken to ensure inventory is valued correctly.
INVENTORY	**Not making any adjustments if inventory is damaged.** Inventory should be valued at lower of cost and NRV. There is a risk that inventory may be under or over stated.	Detailed cost and NRV testing should be undertaken to ensure inventory is valued correctly.
INVENTORY (MOVEMENT OF GOODS)	**During year-end inventory count there were movements of goods in and out.**	Review the GDNs and GRNs during the count and follow them through the inventory count records to check accuracy.

	Goods could have been omitted or counted twice. This would result in inventory being under or overstated.	
INVENTORY	**The inventory holding period has increased from no. of days.** Inventory may be overvalued as its net realisable value (NRV) may be below its cost. Inventory may be overvalued as its net realisable value (NRV) may be below its cost. If the tyres can be rectified, the rectification costs may mean that cost exceeds net realisable value. If the tyres cannot be rectified, the inventory may need to be written off completely. There is a risk of overstatement of inventory.	Discuss with the finance director whether any write downs will be made to the affected tyres, and what, if any, modifications may be required with regards to the quality. Testing should be undertaken to confirm cost and NRV of the affected products in inventory and that all inventory on a line-by-line basis is valued correctly.
INVENTORY (CONTINUE PRODUCTION)	**The company undertakes continue production in its factory.** The exact cut off of WIP will not be assessed If the cut-off is not correctly calculated, the inventory valuation may be under or over stated.	Discuss with management the process they will undertake to assess the cut-off point for work in progress at the year end. Review the process while attending the year-end inventory count. Consider if an independent expert is required to value the WIP. If so, arrange that with consent from management.
INVENTORY	**Goods in transit.** At the year end, there is a risk that the cut-off of inventory, purchases and payables may not be accurate and may be misstated.	Discuss with management the point at which inventory is recorded. undertake a detailed cut off testing of goods in transit to ensure that the cut off is complete and accurate.

INVENTORY (SALES RETURN)	**There have been a significant number of sales returns made subsequent to the year end.** As these relate to pre-year-end sales, they should be removed from revenue in the draft financial statements and the inventory reinstated. If not done, Revenue will be overstated and inventory understated.	Review a sample of the post year-end sales returns and confirm if they relate to pre-year-end sales, and also revenue and inventory are correctly accounted. Discuss with management the reason for increased level of returns.
INVENTORY (PERPETUAL INVENTORY COUNTS)	**The company undertakes continuous (perpetual) inventory counts.** Under such a system all inventory must be counted at least once a year with adjustments made to the inventory records. Inventory could be under or overstated.	Review the completeness of the continuous (perpetual) inventory counts. Consider level of adjustments made to assess whether reliance on the inventory records at the year-end will be acceptable.
INVENTORY – DIFFERENCE IN RECORDS	**During the interim audit, it was noted that there were significant exceptions with the inventory records being higher than the inventory in the warehouse.** As the year-end quantities will be based on the records, this is likely to result in overstated inventory	The level of adjustments made to inventory should be considered to assess their significance. This should be discussed with management as soon as possible as it may not be possible to place reliance on the inventory records at the year end, which could result in the requirement for a full year- end inventory count.
INVENTORY	**Inventory held at different warehouses.** It is unlikely that the auditor will be able to attend at all inventory	The auditor should attend those warehouses where major inventory is held or where there is history of errors.

	counts and therefore they need to ensure that they obtain sufficient evidence over the inventory counting controls, and completeness and existence of inventory for any warehouses not visited.	
INVENTORY – WIP	**The audit team will only attend the WIP counts at some of the sites.** WIP is a material balance and the valuation of WIP is a judgemental area. As the audit team is not attending all sites, detection risk is increased as the team will be unable to directly obtain evidence relating to WIP.	Assess which inventory counts the team will attend, most likely to be those with the most material WIP balances or which are assessed as having the greatest risk of misstatement. For those inventory counts not attended, the audit team will need to obtain and review documentation relating to the controls surrounding the counts and will need to review reports from any experts used to value the WIP, and any exceptions noted during the count and discuss with management any issues which arise during the count.
(MATERIAL WIP)	**Co. is likely to have a material level of work in progress at the year END.** The level of work in progress will need to be assessed at the year end. Assessing the percentage completion for partially constructed buildings is likely to be quite subjective, and the team should consider if they have the required	Discuss with management the process they will undertake to assess the percentage completion for work in progress at the year end. This process should be reviewed by the auditor while attending the year-end inventory counts. In addition, consideration should be given as to whether an independent expert is required to value the work in progress

	expertise to undertake this. If the percentage completion is not correctly calculated, the inventory valuation may be under or overstated.	or if a management expert has been used. If the work of an expert is to be used, then the audit team will need to assess the competence, capabilities and objectivity of the expert.
WAREHOUSE	**some are owned by company and some rented from third parties.** Only warehouses owned by company should be included within PPE. if the company has capitalised all warehouses, there is a risk of PPE being overstated and expenses understated.	Review supporting documentation for all warehouses included within PPE to confirm ownership and to ensure non-current assets are not overstated.
LIABILITIES-NEW LOAN	**Company has taken a new loan.** The loan needs to be correctly split between current and non-current liabilities in order to ensure correct disclosure. If it is not, it could result in misclassified liabilities.	Auditor should confirm that the loan amount was received. The split between current and noncurrent should be reviewed and it must be ensured that all disclosures of loan are in accordance with relevant accounting standards.
LIABILITIES-LOAN	**Consideration of finance cost.** Also, as the level of debt has increased, there should be additional finance costs. There is a risk that this has been omitted from the statement of profit or loss leading to understated finance costs and overstated profit.	Recalculate finance costs and agree any increase in interest to the loan documentation for confirmation of interest rates. Interest payments should be agreed to the cash book and bank statements to confirm the amount was paid and is not therefore a year-end payable.
LIABILITIES-LOAN (PROFIT	**The loan has a minimum profit target covenant.**	Review the covenant calculations prepared by the company and identify whether any defaults have occurred.

TARGET COVENANT)	If this is breached, the loan would be instantly repayable and would be classified as a current liability. If the company does not have sufficient cash flow to meet this loan repayment, then there could be going concern implications. There is also a risk of profits being manipulated to ensure that covenants are met.	Maintain professional scepticism and be alert to the risk that profit has been overstated.
LIABILITIES-EMPLOYEES REDUNDANCY (IAS 37)	**Company is planning to make some employees redundant after the year end.** If it's announced before the year end, a provision will be required under IAS 37 Provisions, Contingent Liabilities and Contingent Assets. Failure to provide will result in an understatement of provisions and expenses.	if announced before the year end, review supporting documentation to confirm the timing. Recalculate the redundancy provision.
LIABILITIES-EMPLOYEES THREATENING TO SUE. (IAS 37)	**Any employee was dismissed and is threatening to sue the company for unfair dismissal.** If it is probable that Co. will make payment to the employee, a provision for unfair dismissal is required to comply with IAS 37 Provisions, Contingent Liabilities and Contingent Assets. If the payment is possible rather than probable, a contingent liability disclosure would be necessary. If Co. has not done this, there is a risk	Discuss the situation with management Request confirmation from the company's lawyers of the existence and likelihood of success of any claim from the former employee.

	over the completeness of any provisions or contingent liabilities disclosures.	
WARRANTY (IAS 37)	**Co. offers its customers a warranty at no extra cost** Under IAS® 37 Provisions, Contingent Liabilities and Contingent Assets this should be recognised as a warranty provision. Calculating warranty provisions requires judgement as it is an uncertain amount. There is a risk that the warranty provision could be understated, leading to understated expenses and liabilities.	Discuss with management the basis of the provision calculation and compare this to industry averages and the level of post year-end claims, if any, made by customers. The audit team should also compare the prior year provision with the actual level of claims in the year, to assess the reasonableness of the judgements made by management.
PAYROLL	**Company outsources the payroll work.** A detection risk arises as to whether sufficient and appropriate evidence is available at Company to confirm the completeness and accuracy of controls over payroll. If not, another auditor may be required to undertake testing at the service organisation.	Discuss with management the extent of records maintained by the service entity and any monitoring of controls undertaken by management over the payroll charge. Consideration should be given to contacting the service organisation's auditor to confirm the level of controls in place.
	The payroll processing had transferred to service entity. If any errors occurred during the transfer process, these could result in the payroll charge and related employment tax liabilities being under/overstated.	Discuss with management the transfer process undertaken and any controls put in place to ensure the completeness and accuracy of the data.

BALANCES	**Branches maintained their own financial records and submitted returns monthly to head office.** The opening balances for each branch have been transferred into the head office's accounting. There is a risk that if this transfer has not been performed completely and accurately, the opening balances may not be correct.	Discuss with management the process undertaken to transfer the data and the testing performed to confirm the transfer was complete and accurate. Computer-assisted audit techniques could be utilised by the team to sample test the transfer of data from each supermarket to head office to identify any errors
BALANCES	**A number of reconciliations, including the bank reconciliation, were not performed at the year end** Control account reconciliations provide comfort that Accounting records are being maintained completely and accurate. At the year end, it is important to confirm that balances including bank balances are not under or overstated.	Discuss this issue with the finance director and request that control account reconciliations are undertaken. All reconciling items should be tested in detail and agreed to supporting documentation.
RECEIVABLES	**Default of major customer or customer struggling to pay/ finance director released allowance for receivables.** There is a risk that receivables are overstated as some debts are irrecoverable.	Do testing of post year end cash receipts and review aged debtor's ledger to assess valuation of receivables.
RECEIVABLES	**Receivables for the year to date are considerably higher than the prior year.**	Discuss with management the reasons for the increase in receivables and management's process for identifying potential irrecoverable debt.

	If this continues to the year end, there is a risk that some receivables may be overvalued as they are not recoverable.	Extended post year-end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation.
RECEIVABLES	**Out of the customers who bought goods on credit there are concerns about the creditworthiness of some customers.** There is a risk that some receivables may be overvalued as they are not recoverable.	A review of the aged receivables ledger to be performed to assess valuation. Also consider the adequacy of any allowance for receivables.
RECEIVABLES	**The receivables collection period has increased from no. of days.** There is a risk that receivables will be overvalued as some balances may not be recoverable.	Extended post year-end cash receipts testing and a review of the aged receivables ledger to be performed to assess valuation. Also consider the adequacy of any allowance for receivables.
NON-CURRENT ASSETS (ORDERED BUT NOT YET RECEIVED)	**Ordered plant and machinery, but half of the order have not yet been delivered by the year end** Only assets which physically exist at the year-end should be included in property, plant and equipment. If items not yet delivered have been capitalised, PPE will be overstated.	Discuss with management as to whether the remaining plant and machinery ordered have arrived; if so, physically verify a sample of these assets to ensure existence and ensure only appropriate assets are recorded in the non-current asset register at the year end.
NON-CURRENT ASSETS (DEPRICIATION)	**Depreciation related to the asset.** Consideration will also need to be given to depreciation and when this should commence. If depreciation is not appropriately charged when the asset is available for use, this may result in assets and profit being over or understated.	Determine if the asset received is in use at the year-end by physical observation and if so, if depreciation has commenced at an appropriate point.

NON-CURRENT ASSETS (INCREASED REVENUE OR CAPITAL EXPENDITURE)	**Increased revenue or capital expenditure.** If the expenditure is of a capital nature, it should be capitalised as part of property, plant and equipment (PPE) in line with IAS 16 Property, Plant and Equipment. If it relates more to repairs, then it should be Expensed to the statement of profit or loss. If the expenditure is not correctly classified, Profits and PPE could be under or overstated.	Review a breakdown of these costs to ascertain the split of capital and revenue expenditure, and further testing should be undertaken to ensure that the classification in the financial statements is correct
NON-CURRENT ASSETS (REVALUED)	**Land and buildings will be revalued at the year end.** The revaluation needs to be carried out and recorded in accordance with IAS 16 Property, Plant and Equipment, otherwise non-current assets may be incorrectly valued.	Discuss with management the process adopted for undertaking the valuation and whether the valuation was undertaken by an expert. Review the process to ensure compliance with IAS 16.
NON-CURRENT ASSETS (STAFF TRAINING)	**A specialised machine was acquired and staff members had to be trained in the machine's use at a cost which has been capitalised as part of the cost of the machine.** IAS® 16 Property, Plant and Equipment prohibits training costs from being capitalised and therefore profits and property, plant and equipment will be overstated, and expenses understated if the training costs are	Discuss the accounting treatment with the directors and request that an adjustment is made to ensure appropriate treatment of the training costs. Obtain a breakdown of the remaining capitalised costs and agree to supporting documentation to ensure that they meet the recognition criteria in IAS 16.

	not written off to the statement of profit or loss.	
NON-CURRENT ASSETS (DISPOSALS)	**During the year an asset has been disposed of at a profit/loss.** Significant profits or losses on disposal are an indication that the depreciation policy of plant and machinery may not be appropriate. Therefore, depreciation may be understated and profit and assets overstated.	Recalculate the loss on disposal calculations and agree all items to supporting documentation. Discuss the depreciation policy for plant and machinery with the finance director to assess its reasonableness.
DEPRICIATION POLICY	A number of assets which had not been fully depreciated were identified as being obsolete. This is an indication that the company's depreciation policy of non-current assets may not be appropriate, as depreciation in the past appears to have been understated. If an asset is obsolete, it should be written off to the statement of profit or loss. Therefore depreciation may be understated and profit and assets overstated.	Discuss the depreciation policy for non- current assets with the finance director and assess its reasonableness. Enquire of the finance director if the obsolete assets have been written off. If so, review the adjustment for completeness.
NON-CURRENT ASSETS (USEFUL LIFE EXTENDED)	**Extended the useful lives of fixtures and fittings from three to four years,** This would lead to reduced depreciation charge. There is a risk that this reduction may be occurred in order to boost profits.	Discuss with the directors the reason for any extensions of asset lives and reduction of depreciation rates. Compare the no. of years to how often these assets are replaced, to assess the useful life of assets.

	If this is the case, then fixtures and fittings are overvalued and profit overstated.	
INTANGIBLE ASSETS (PURCHASE OF PATENT)	**Purchase of patent/intangible asset.** According to IAS 38, this should be included as an intangible asset and amortised over its life. If management has not correctly accounted for the asset, intangible assets and profits could be overstated.	Agree the purchase price to supporting documentation and confirm the useful life. Recalculate amortisation charges to ensure accuracy and valuation.
INTANGIBLE ASSETS (WEBSITE)	**Company has incurred cost on updating their website during the year.** The costs incurred should be correctly allocated between revenue and capital expenditure. profit and PPE could be under or overstated	Review a breakdown of these costs to ascertain the split of capital and revenue expenditure, Undertake further testing to ensure that the classification in the financial statements is correct.
INTANGIBLE ASSETS (DEVELOPING NEW PRODUCT)	**Company has incurred expenditure in developing a new range of products.** This expenditure is classed as research and development under IAS 38 Intangible Assets. The standard requires research costs to be expensed to profit or loss and development costs to be capitalised as an intangible asset. There is a risk the intangible asset could be overstated and expenses understated.	Obtain a breakdown of the expenditure and verify that it relates to the development of the new products. Undertake testing to determine whether the costs relate to the research or development stage. Discuss the accounting treatment with the finance director and ensure it is in accordance with IAS 38.

KEY EMPLOYEE LEFT	**Top management or key personnel left the company just before the year end.** There is a risk of increased errors in that department due to increased workload on remaining members of the department.	The audit team should remain alert throughout the audit for any errors in that department.
KEY EMPLOYEE LEFT AND DID FRAUD	**Company's previous finance director left after it was discovered that he had been committing fraud with regards to expenses claimed.** There is a risk that he may have undertaken other fraudulent transactions; these would need to be written off in the statement of profit or loss. The financial statements could include errors.	Discuss with the new finance director what procedures they have adopted to identify any further frauds by the previous finance director. Maintain professional scepticism and be alert to the risk of further fraud and errors.
EMPLOYEE DID FRAUD	**financial controller has allegedly carried out a number of fraudulent transactions at the company.** The investigation into the extent of the fraud has only recently commenced. There is a risk that she may have undertaken a significant level of fraudulent transactions leading to an increased control risk which has not yet been identified. These would need to be written off to the statement of profit or loss. If these have not been uncovered by the year end, the financial statements could include errors	Discuss with the finance director the details of the fraud perpetrated by the financial controller and what procedures have been adopted to date to identify any adjustments which are needed in the financial statements. Additional substantive testing should be conducted over the affected areas of the accounting records. In addition, the team should maintain their professional scepticism and be alert to the risk of further fraud and errors.

	resulting in the misstatement of profits.	
EMPLOYEE WAS IN A DIFFERENT SECTOR	**The new finance director was appointed was previously working in different sector.** Sycamore is a pharmaceutical company which is very different to a bank; there is a risk that the new finance director is not sufficiently competent to prepare the financial statements, leading to errors.	Pay careful attention to any changes in accounting policies and to any key judgmental decisions made by the finance director.
BONUS	**Sales related profit or assets being offered to the employees as a bonus.** This may lead to sales cut-off errors with employees aiming to maximise their current year bonus.	Increased sales cut-off testing will be performed along with a review of any post year-end returns as they may indicate cut-off errors.
BONUS	**The bonus scheme for senior management and directors of the Company is based on the value of year-end total assets.** There is a risk that management might be motivated to overstate the value of assets through the judgements taken or through the use of releasing provisions or capitalisation policy.	Throughout the audit, the team will need to be alert to this risk and maintain professional scepticism. Detailed review and testing on judgemental decisions, including treatment of provisions, and compare treatment against prior years. Any manual journal adjustments affecting assets should be tested in detail.
INTRODUCTION OF NEW IT SYSTEM	**Introduction of new counting I.T. system during the year or data transferred to the I.T. office at the year end**	Discuss with management the process of data transfer and perform sample testing to ensure data transfer is complete and accurate.

	There is a risk that the data transfer is not complete and accurate, hence opening balance are incorrect.	
INTRODUCTION OF NEW IT SYSTEM	**A new general ledger system was introduced and the old and new systems were run in parallel.** There is a risk of opening balances being misstated and loss of data if they have not been transferred from the old system correctly. Also, the new general ledger system will require documenting and the controls over this will need to be tested.	Undertake detailed testing to confirm that all of the balances at the transfer date have been correctly recorded in the new general ledger system. Also, Document and test the new system.
NEW CLIENT	**The audit client is a new client for the auditors.** As the audit team is working with the client for the first time, they may not be familiar with the Accounting policies, transactions and balances, there will be an increased detection risk on the audit.	Ensure audit team consists of suitably experienced members. Also, adequate time should be allocated for team members to obtain an understanding of the company and the risks of material misstatement.
SHORT TIME TO COMPLETE AUDIT	**Short time period of audit completion/ the reporting time of audit completion is quite short.** This will increase detection risk and will put additional pressure on audit to obtain sufficient appropriate audit evidence.	Consideration to be given to performing an interim audit to reduce pressure on final audit. The team needs to maintain professional scepticism and be alert to the increased risk of errors occurring.

DEFICIENCY RELATED TO CONTROL SYSTEM	**Significant deficiencies relating to the purchases cycle./ sales cycle** If these deficiencies have not been rectified, the controls over purchases/sales and payables/receivables may continue to be weak leading to increased control risk and risk of misstatements arising. Cost of sales/revenue, expenses and trade payables/receivables may not be complete or accurate.	Discuss with management whether the purchases cycle recommendations suggested by auditor were implemented successfully this year. If so, undertake tests of these controls to assess if they are operating efficiently. If the controls are not in place or operating efficiently, adopt a fully substantive approach for confirming the completeness and accuracy of cost of sales and other expenses and trade payables.
REVENUE	**The finance director is planning on reducing the estimated return rate for goods sold on a sale or return basis to wholesale customers** IFRS 15 Revenue from Contracts with Customers provides that revenue and cost of sales should only be accounted for to the extent that the company foresees that the goods will not be returned For the goods which may be returned, the company should recognise a refund liability. If, after 60 days, the goods are not returned, then this liability is reversed and revenue is recognised. By reducing the return rate, there is a risk that revenue and cost of sales	Discuss the basis of the revised assumption of a 5% return rate with the finance director. Review a period of 60 days to quantify the levels of return in the specified period and compare this to the assumed rate of 5%. Discuss any significant variations with the finance director

	may be overstated and liabilities understated.	
REVENUE	**Customers pay some amount of deposit on signing the contract for buying the product.** The deposits should be recognised as deferred income instead of revenue until the performance obligations have been satisfied. There is a risk that revenue is overstated and current liabilities understated.	Discuss with management the treatment of deposits received in advance, to ensure it is appropriate. Undertake increased testing over the cut-off of revenue and completeness of deferred income.
STOCK EXCHANGE LISTING	**Co intends to undertake a stock exchange listing in the next 12 months.** In order to maximise the success of the potential listing, Co will need to present financial statements which show the best possible position and performance. The directors therefore have an incentive to manipulate the financial statements by overstating them.	Co. should ensure that there is a suitably experienced audit team. Also, adequate time should be allocated for team members to obtain an understanding of the company and the significant risks of overstated financial statements. The team should be alert and maintain professional scepticism to increased risk of manipulation.
SHARES (PREFERENCE)	**Company has issued irredeemable preference shares.** As the preference shares are irredeemable, they should be classified as equity and not as non-current liabilities. Failing to this could result in understated equity and overstated non-current liabilities.	Review share issue documentation to confirm that the preference shares are irredeemable. Confirm that the amount was received and have been correctly classified as equity. Review the disclosures in detail to ensure compliance with relevant accounting standards.

SHARES (BONUS ISSUE)	**Co has issued shares during the year via a bonus issue.** Share capital within equity should increase by the value of the shares and a reserve should decrease accordingly. If the company has not accounted for a bonus issue before, there is a risk that it could have been incorrectly treated with equity being under or overstated. If the bonus issue is not disclosed in financial statements, there is a risk that these may be incomplete.	Review the treatment of the bonus issue and agree the increase in shares to the share register and share certificates, and agree that the corresponding reduction in reserves is correct. Review board minutes for authorisation and terms of the bonus issue Review the adequacy of the bonus issue disclosures in the financial statements
SHARES (PREMIUM)	**raised new finance through issuing of shares at a premium.** The equity finance needs to be allocated correctly between share capital and share premium with adequate disclosure made. If this is not done correctly, then share capital and share premium may be misstated.	Confirm that the amount was received and that the split of share capital and share premium is correct and appropriately recorded. Review the disclosures in detail to ensure compliance with relevant accounting standards.
SHARES (RIGHTS ISSUE)	**Co. made a rights issue in the year.** The rights issue has been made at a premium and therefore requires to be split into its share capital and share premium elements. There is a risk that the split between share capital and share premium has not been accounted for correctly and that these balances are misstated.	Obtain legal documentation in support of the rights issue to agree the number of shares issued and the rights price. Recalculate the split of share capital and share premium and agree this to the journal entry to record the rights issue.

	There is also a risk that the rights issue has not been disclosed in accordance with accounting standards and local company legislation.	The audit team should also agree that disclosures are adequate and consistent with standards and legislation.
FINANCIAL MANAGEMENT- DEBT	**Co intends to restructure its debt finance after the year end.** In order to maximise the chances of securing the debt finance restructure, Co. will need to present financial statements which show the best possible position and performance. The worsening interest cover and gearing ratio increases the risk that the directors may manipulate the financial statements, by overstating profits and assets and understating debt liabilities.	Ensure audit team consists of suitably experienced members. Also, adequate time should be allocated for team members to obtain an understanding of the company and the significant risks of overstatement of profits and assets and understatement of debt, including attendance at an audit team briefing. The team needs to maintain professional scepticism and be alert to the increased risk of manipulation. Significant estimates and judgements should be carefully reviewed in light of the misstatement risk.
RELIANCE ON IA	**The external audit team may place reliance on the controls testing work undertaken by the IA department.** If reliance is placed on irrelevant or poorly performed testing, then the external audit team may form an incorrect conclusion on the strength of the internal controls. This could result in them performing insufficient levels of substantive	The external audit team should meet with IA staff, read their reports and review their files relating to store visits to ascertain the nature of the work undertaken. Before using the work of IA, the audit team will need to evaluate and perform audit procedures on the entirety of the work which they plan to use, in order to determine its adequacy for the purposes of the audit. In addition, the team will need to re-perform some of

	testing, thereby increasing detection risk.	the testing carried out by IA to assess its adequacy.
PRODUCT RECALL	**Co has stopped further sales of one of its products and a product recall has been initiated.** The company might have to pay refunds to customers. If not accounted, this could result in understated liabilities. Also, the sales will need to be removed from the F/S If not done, it could result in overstated revenue. Also, inventory will need to be reinstated If not done, it could lead to misstated inventory	Review the list of sales made between the recall period and agree that the sales have been removed from revenue and the inventory included. Discuss with management whether the refund has been paid. If not, review that it is included in current liabilities.
GOING CONCERN ISSUES	**The payables payment period has increased from 40 to 60 days. The current ratio has decreased from 3 to 1. The quick ratio has also decreased from 2 to 1. In addition, the bank balance has moved from $0·56m to an overdraft of $0·81m.** These are all indicators that the company could be experiencing cash flow difficulties which could result in going concern. These uncertainties may not be adequately disclosed in the financial statements.	Detailed going concern testing to be performed during the audit, including the review of cash flow forecasts and the underlying assumptions. These should be discussed with management to ensure that the going concern basis is reasonable
